

looking for a reversal at the end of the pattern and not an upward or downward breakout. Therefore, the layout of this chapter is different from most other chapters in this book.

The failure rate for bullish crabs ranks first (best, not shown in the above table) compared to other Fibonacci-based patterns, and they are substantially below non-Fibonacci-based patterns (which is good for this pattern, too). However, the average rise is nothing to write home about for both Fibonacci and non-Fibonacci-based patterns in bull markets. In bear markets, the average rise beats most non-Fibonacci patterns and places second out of 5 for Fibonacci patterns.

Let me emphasize that the average rise doesn't really apply to this pattern, so don't worry about underperformance. We're looking to buy the stock not after an upward breakout, but after the pattern bottoms at D, the end of the pattern. I'll discuss this more later.

The reversal rate is the elephant in the room (careful where you step). If price doesn't turn higher at the end of the pattern (turn D), then swing traders will find it difficult to make money. With this pattern, the turn rate is at *least* 84% (bear market, on average), which I consider excellent. But we need to see if a sustained price trend develops after the turn. That's because performance might be like many candlestick patterns I tested. Some have high reversal rates, but price doesn't go anywhere. Those candlesticks aren't tradable patterns (by themselves).

Before we go any further, let's see what a bullish crab looks like. [Quick anecdote: When I was living in Boston, I owned two 11" Oscars (a fish), which I raised from 4". Anyway, I bought a crab, and one of the Oscars ate the thing. All I saw of the crab was one red claw poking the Oscar in the eye. I turned vegetarian after that.]

Tour

[Figure 20.1](#) shows an example of a bullish crab with an upward reversal at D. Turns XABCD compose the crab pattern. Fibonacci ratios determine three of the turns with the first two points being a random selection until you can find a qualified point B. I'll talk more about how I find these patterns in the next section. Let me add that you need a computer with